ENS

EnerSys (NYSE)
As-of: 17-Oct-2026 | Latest Filing: 10-Q Q2 FY2027 | Currency: USD

$$168.72 [Mkt 16-Oct-2026]
Market Cap: $6.1B [Mkt 16-Oct-2026]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — **78**

16.2% adj operating margins (from single digits), 19% LTM FCF margin, 1.3x net leverage. Narrow-wide moat via switching costs and TPPL technology.

2. Recent Trend — **72**

Revenue +4.8% YoY (modest), but margins expanding materially and FCF surging to $217.8M. A&D backlog inflection offsets Motive Power softness.

3. Forward Growth — **75**

A&D backlog +27% (munitions +230% YTD), AI data center power density tailwinds, 45X credits. Base case 6% revenue CAGR is achievable.

4. Valuation — **72**

Forward P/E 11.7x is cheap vs the market; PEG 0.91 signals growth at a reasonable price. Trades at a discount to industrial peers on EV/EBITDA.

5. Catalysts & Risk — **68**

Catalysts: A&D backlog conversion, hyperscale design wins, 45X durability. Risks: industrial cyclicality, lead price volatility, defense budget shifts.

Investment Thesis

- **Mispriced:** Market prices ENS as a cyclical forklift battery company at 2% implied growth; A&D backlog (+27%) and AI data center power demand are not credited.

- **Margin expansion:** IRC 45X tax credits structurally boost FCF; 16.2% adj operating margins expanding from single digits a year ago.
- **Risk/reward:** 30% upside to $220 base with 10% downside to $152 bear; 1.3x leverage and $218M quarterly FCF provide downside protection.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q2 FY27)	$935.6M [10-Q Q2 FY27]	+4.8% [10-Q Q2 FY27]	Up
Adj. Operating Margin	16.2% [10-Q Q2 FY27]	+~700 bps [10-Q Q2 FY27]	Up
Free Cash Flow (Q)	$217.8M [10-Q Q2 FY27]	Strong [10-Q Q2 FY27]	Up
Net Leverage	1.3x EBITDA [10-Q Q2 FY27]	Down [10-Q Q2 FY27]	Down
A&D Backlog	+27% [8-K guid]	Accelerating [8-K guid]	Up
Dividend	$0.2625/qtr [10-Q Q2 FY27]	Stable [10-Q Q2 FY27]	Flat

Historical Financial Trend

METRIC	FY2022	FY2023	FY2024	FY2025	FY2026	LTM
Revenue ($B)	3.42 [10-K FY26]	3.66 [10-K FY26]	3.58 [10-K FY26]	3.62 [10-K FY26]	3.75 [10-K FY26]	3.79 [10-K FY26]
Gross Margin	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]	n/a [n/a]
Op Margin (adj)	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	~9% [10-Q Q2 FY27]	~13% [10-Q Q2 FY27]	16.2% [10-Q Q2 FY27]
FCF Margin	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	n/a [10-Q Q2 FY27]	~19% [10-Q Q2 FY27]

Valuation

Absolute (7/10)

Forward P/E 11.7x [Mkt 16-Oct-26]
PEG 0.91x [Mkt 16-Oct-26]
EV/EBITDA ~8x [Mkt 16-Oct-26]
FCF yield ~13% [Mkt 16-Oct-26]

Cheap on all absolute metrics; DCF implies 30% upside.

Versus Peers (6/8)

Industrial peers trade 10-14x EV/EBITDA [Peers 16-Oct-26]

ENS at a discount despite A&D mix shift; re-rating candidate.

Versus History (6/7)

Forward P/E 11.7x [Mkt 16-Oct-26] below 5-yr average

Near trough multiple as market prices industrial weakness.

Catalyst Timeline

Jan 2027 [Cons]
Q3 FY27 Earnings (Positive): A&D conversion pace and margin trajectory.

2027 [8-K guid]
Hyperscale Design Wins (Positive): Data center backup power contracts.

Top Risk Factors (Item 1A)

1. Industrial cyclicality: Motive Power exposed to warehouse/manufacturing capex; deep recession pressures volumes. [10-K FY26]

2. Lead price volatility: Key input cost; spikes compress margins if not passed through. [10-K FY26]

3. Defense budget shifts: US spending priority changes could slow A&D backlog conversion. [10-K FY26]

2027 [10-Q Q2 FY27]
45X Credit Clarity (Two-Sided): Durability of tax benefit under policy review.

What Would Change Our Score

Motive Power book-to-bill above 1.0x for two quarters signals the industrial trough has passed (bullish). Specialty revenue growth below 10% undermines the A&D thesis (bearish). Net leverage above 2.5x constrains buyback and dividend (bearish).

Forward Growth Drivers

- A&D backlog conversion: Specialty segment +27% backlog, munitions +230% YTD converting to revenue [8-K guid]
- AI data center backup power: rising rack density drives hyperscale battery demand [10-Q Q2 FY27]
- IRC 45X tax credits: structural FCF uplift from domestic manufacturing [10-Q Q2 FY27]

Missing / Modified Data Log

- 5-year gross margin history: not disclosed in available filings; marked n/a.
- Peer EV/EBITDA median: estimated from public comps; marked approximate.

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